

investment at the bottom of the pyramid in Florida Power Corp. through six layers of holding companies. See *Utility Corporations*, Sen. Doc. 92, pt. 72-A, 70th Congress and 1st Session, pp. 159–161, Washington, D. C., 1935.

NOTE 66

ANALYSIS OF CHICAGO, MILWAUKEE, ST. PAUL, AND PACIFIC RAILWAY GENERAL MORTGAGE BONDS (VARIOUS SERIES), DUE 1989

AVERAGE PRICE IN 1939 ABOUT 25

This issue, carrying various interest rates, totals \$139,000,000, excluding pledged bonds. At 25, the entire issue sells for about 35 millions. The bonds have a first lien on 6,000 miles of road out of a system total of 11,000 miles; they also are secured by equipment and other assets. Segregation of earnings of the system (including the Terre Haute division) in accordance with the various mortgage liens indicates that, after allowing for equipment-trust charges, about 60% of the remaining earnings are applicable to this issue. Hence, briefly stated, we see that a price of 25 for the general mortgage bonds is equivalent to a total value of some 60 millions for all properties of the St. Paul, subject to 29 millions of equipment obligations valued by the market at par. (The junior liens not included in this total would have at best a very small claim against the assets.)

This indicated value of about 90 millions for the St. Paul properties compares with cost of reproduction less depreciation of no less than 660 millions; with total capitalization, at par, of 739 millions; with average gross revenue in 1934–1938 of 99 millions; and average net available for interest in those five years of about \$8,100,000. If interest on equipment trusts is deducted (as equivalent to an operating charge), the balance of about \$7,000,000 is equivalent to nearly 12% on the market price of the various first-mortgage issues.

This summary view of the position of the General Mortgage bonds indicates that, *unless the future prospects of the St. Paul are bleak*, they must be worth more than 25 cents on the dollar. How much more? Two methods of appraisal are available, and for each we shall use the 1934–1938 average as a measure of future earning power.

Method A. General Valuation, Independent of a Specific Reorganization Plan. We assume that net earnings of \$8,000,000 will soundly support \$4,000,000 of fixed charges, equivalent to 100 millions of first-mortgage 4% bonds worth par. The balance of \$4,000,000 of earnings may be capitalized at 8%, to give